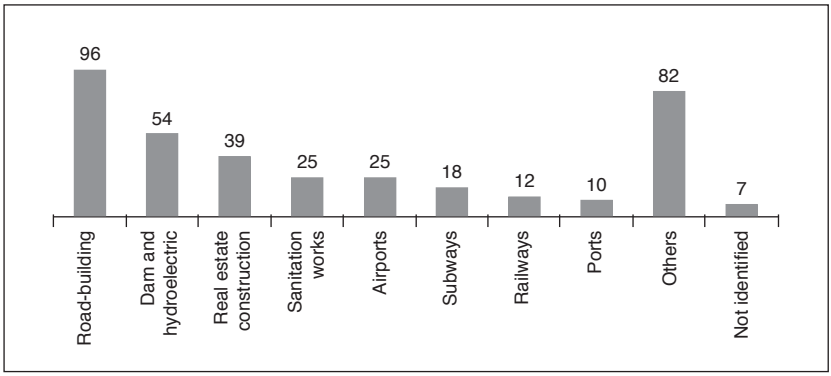
Figure 4. Brazilian contractors' foreign contracts, by type of works



Source: prepared by the author.

diplomatic assistance fortified the capacity of Brazilian contractors to expand abroad. Despite the shock of the 2008 crisis, which had an immediate effect upon the international activity of these firms, what followed was a strong recovery process and continuity in the national construction companies' expansion into other countries including annual records in the number of foreign contracts.

Thus, as already noted, international and domestic factors conditioned the operations of Brazilian contractors between 1969 and 2010. State and diplomatic support as well as market conditions and the international system has to be taken into account to explain the annual number of signed contracts. As we have shown – in opposition to other explanations[6] – the domestic market slowdown was not responsible for companies becoming transnational. On the contrary, as we have observed, when the Brazilian economy boomed these companies extended their overseas activities while periods of retraction marked a diminishing number of their contracts in other countries. As was also highlighted, from the 1980s, when there was already a group of large and experienced contractors in Brazil and active public policies offering protection and incentives for these companies, their even greater success abroad (imperfectly measured by the number of contracts established outside the country) depended upon external more than domestic circumstances. Despite certain differences among them, these firms remained highly capitalised and assisted by the state apparatus, no matter who was in power. In relation to the type of works involved, there were some interesting trends in regard to the Brazilian contractors' transnationalisation process, as one can see in Figure 4.

According to Figure 4, Brazilian civil engineering firms expanded overseas